

haven't lost anything yet—the market always goes up. But when you lose your nerve and sell, everything changes. People who sell in fear tend to remain fearful and don't get back into the market until it has gone back up. Some never get back in. This locks in real losses and is a real risk.

The second real risk is when you reach a point in time when you are FI and are ready to live off your portfolio. In this case, you have to sell off your investments to produce cash to support your lifestyle. If the market crashes, you'll have to sell more assets to produce the same amount of income, putting you at risk of running out of money before running out of life.

A big piece of managing risk is having an appropriate asset allocation. This can mean holding other asset classes, such as bonds. Stocks have higher returns, but also tend to have greater volatility. Bonds tend to have lower returns and less volatility. The key is to find the right mix to allow you to reach your goals without exposing yourself to excessive volatility risk that can cause you to sell at the wrong time, either out of panic or need.

JL Collins's simple path consists of holding only one fund during your accumulation phase: a total stock market index fund that holds shares of every publicly traded US company. This will most likely